

FIRST BANK NIGERIA — LOAN ANALYSIS REPORT

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QUESTION 1 — Overall Loan Approval Rate

Loan Status Total Percentage

- ✓ Approved 366 69.19%
- ✗ Rejected 163 30.81%

Answer: First Bank Nigeria approves **69.19% of all loan applications** — meaning almost 7 out of every 10 applicants receive a loan. This relatively high approval rate raises questions about risk management especially when combined with our HIGH RISK findings in Question 5.

QUESTION 2 — Does Credit History Determine Approval?

Credit History Rejected Approved Approval Rate

- | | | | |
|------------|----|-----|---------|
| 0.0 (Bad) | 72 | 7 | 8.9% ● |
| 1.0 (Good) | 91 | 359 | 79.8% □ |

Answer: YES — credit history is the strongest predictor of loan approval!!

Customers with good credit history are approved at **79.8%** compared to only **8.9%** for bad credit customers. This is a **9x difference** in approval rates — confirming that credit history should remain the primary screening criterion in First Bank's lending process.

QUESTION 3 — Which Customer Profile Gets Approved Most?

By Gender:

Gender Rejected Approved Approval Rate

Female	34	61	64.2%
Male	124	298	70.6%

Answer: Male applicants get approved at a higher rate (70.6%) than female applicants (64.2%). This gap of 6.4% warrants further investigation to ensure there is no gender bias in First Bank's lending decisions!!

By Property Area:

Area	Rejected	Approved	Approval Rate
Rural	60	95	61.3% ●
Semiurban	47	162	77.5% □
Urban	56	109	66.1%

Answer: Semiurban applicants have the highest approval rate at **77.5%** — significantly higher than Rural (61.3%) and Urban (66.1%) applicants. Rural applicants face the most difficulty getting approved!!

By Employment:

Employment	Total Applications
Not Self Employed	345
Self Employed	163

Answer: The majority of applicants (**67.9%**) are not self employed. Self employed applicants represent a smaller but significant portion of the portfolio — and as seen in Question 5, self employment is a HIGH RISK flag!!

QUESTION 4 — Financial Profile of Approved vs Rejected

Metric	Rejected (N)	Approved (Y)	Difference
Avg Applicant Income	₦5,568	₦5,481	Almost identical
Avg Co-applicant Income	₦1,706	₦1,469	Slightly higher in rejected
Avg Loan Amount	₦150	₦144	Almost identical
Avg Loan Term	345 days	341 days	Almost identical

Answer: Income and loan amount are NOT significant predictors of approval!!

Rejected applicants actually earn slightly MORE (₦5,568 vs ₦5,481) and request similar loan amounts!! This confirms that First Bank's approval decisions are driven primarily by **credit history** rather than financial capacity — meaning some financially capable customers may be wrongly rejected while financially weak customers with good credit history get approved!!

QUESTION 5 — HIGH RISK Applicants

Risk Flag	Rejected	Approved	Approval Rate
● HIGH RISK	149	240	61.5% 📉
□ NORMAL	14	126	90%

Answer: This is First Bank's most serious finding!! 📉

First Bank is approving **240 HIGH RISK loan applications** — representing 61.5% of all HIGH RISK applicants!! These are customers with:

- Bad credit history
- Above average loan amounts
- Self employment
- No co-applicant income

Meanwhile NORMAL applicants are approved at 90% — showing the bank correctly identifies low risk customers but is dangerously lenient with high risk ones!!

If even **20% of these 240 HIGH RISK loans default** — that's 48 defaulted loans which could cost the bank tens of millions of naira!!

RECOMMENDATIONS

Recommendation 1 — Strengthen Credit History Requirements

"Credit history is the single strongest predictor of loan approval with a 9x difference in approval rates. First Bank should implement a MANDATORY credit history check as the first screening criterion — automatically rejecting any applicant with Credit History = 0 unless exceptional circumstances are documented and approved by senior management."

Recommendation 2 — Address Rural Lending Gap

"Rural applicants have the lowest approval rate at 61.3% compared to 77.5% for Semiurban applicants. First Bank should investigate whether this gap reflects genuine risk differences or systemic barriers to rural lending. Developing tailored rural loan products could unlock a significant underserved market."

Recommendation 3 — Urgent HIGH RISK Loan Review

"240 HIGH RISK loans have been approved — representing a serious portfolio risk. First Bank should immediately conduct a review of all active HIGH RISK loans to assess current repayment status. Going forward, any applicant flagged as HIGH RISK should require additional documentation, collateral or co-signatory approval before loan disbursement."

CONCLUSION

"This SQL analysis of 529 loan applications reveals that First Bank Nigeria's approval decisions are primarily driven by credit history — which is appropriate. However the bank is approving 240 HIGH RISK applicants (61.5% of all HIGH RISK applications) which represents a significant portfolio risk. Additionally a gender gap in approval rates (70.6% male vs 64.2% female) and a rural lending gap (61.3% approval) suggest opportunities to improve both risk management and market reach. Immediate action on HIGH RISK loan review is strongly recommended before the board meeting."
